

● UNIT 2 · TOPIC 2.1

Introduction to Fare Construction

How an airline turns a route into a price — the building blocks.

B.B.A. Aviation Management · Semester III · Unit 2: Fare Construction Principles
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

AIR TICKETING ACADEMY

ADMIT ONE LEARNER

No. 2.1

CLASS

LECTURE

DURATION

40 MIN

PERIOD

PERIOD 1

FARE

FREE**FARE
CHECKED**

- TOPIC 2.1

Now Showing: Topic Intro



UNIT 2 · TOPIC 2.1

FARE CONSTRUCTION PRINCIPLES

Introduction to Fare Construction

How an airline turns a route into a price — the building blocks.

AIR TICKETING ACADEMY
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CLASS SEM III FARE FREE

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AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.1

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The Ticket Puzzle

**THINK ABOUT IT**

A ₹6,000 ticket: how much of it do you think the airline actually keeps?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



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Your Fare Itinerary

- 1** **2.1.1**
Overview of fare construction: why fare types matter and how fares are determined
- 2** **2.1.2**
Basic components of a fare
- 3** **2.1.3**
Base fare, taxes, surcharges and additional fees
- 4** **2.1.4**
Introduction to the fare construction process

**BY THE END, YOU WILL**

- Define fare construction and its purpose
- Break a ticket price into its components
- Distinguish taxes, carrier surcharges and fees
- Outline the main fare construction steps

Pedagogy: Lecture-Based Teaching-Learning



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What Is Fare Construction?

The rule-based method of pricing a journey correctly.

**Pricing a journey**

Combining the right fares for every part of an itinerary into one ticket price.

**Governed by rules**

IATA resolutions and airline fare rules decide which fares apply and how.

**Mostly automated**

GDS pricing engines do it in seconds — but agents must understand and check it.

**DEFINITION**

Fare construction is the process of determining the correct fare for a passenger's itinerary by applying published fares, mileage, routing and fare rules, then adding applicable taxes and charges.



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How Fares Are Determined

**Route & Distance**

City pair, mileage and permitted routing.

**Cabin & RBD**

Booking class chosen and its fare level.

**Time Factors**

Season, day of week, advance purchase.

**Where Sold**

Point of sale, currency and country of origin.

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Anatomy of a Ticket Price

Every total fare is built in layers.



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Reading a Fare Breakdown

A simplified price quote for one passenger.

- Base fare is the only part that belongs fully to the airline's fare.
- Tax codes are two letters (e.g., K3 = GST in India, IN = user development fee).
- YQ / YR are carrier surcharges.
- Total = base fare + all taxes and charges.

FARE QUOTE (illustrative)

DEL-BOM ECONOMY 1 ADT

BASE FARE	INR	4200
K3 (GST)	INR	222
IN (UDF)	INR	620
YR (CARRIER)	INR	250
OTHER TAXES	INR	395

TOTAL	INR	5687

// all amounts invented

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Base Fare, Taxes, Surcharges & Fees

**Base Fare**

The published or private fare for the journey, before any taxes or charges.

**Taxes**

Collected for governments — e.g., GST, departure taxes, security levies.

**Surcharges (YQ/YR)**

Airline-imposed charges, e.g., fuel or insurance surcharges.

**Additional Fees**

Ancillaries and service fees: seats, bags, convenience fees.



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Refundable vs Non-Refundable Components



Often Refundable

- Government taxes on unused flights
- Airport fees not used (e.g., UDF)
- Base fare on refundable fares
- Unused paid ancillaries (per airline rule)

VS

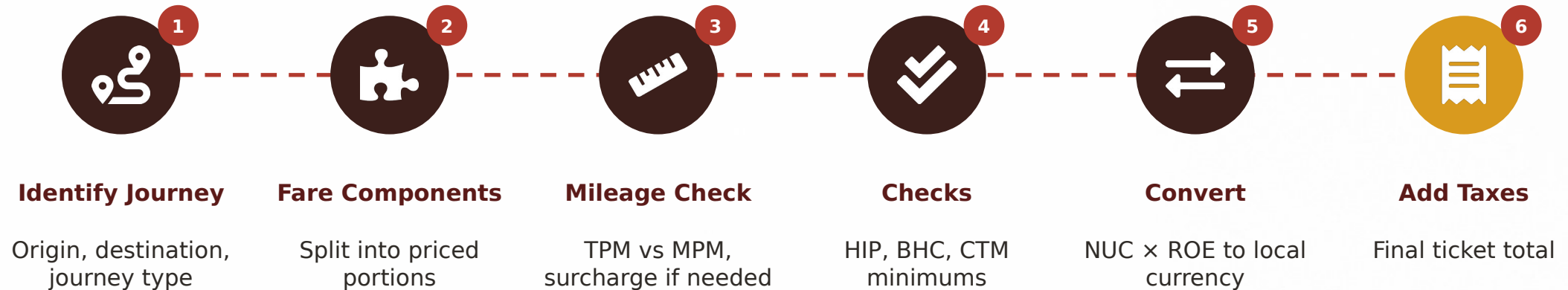
Often Non-Refundable

- Base fare on non-refundable fares
- Carrier surcharges on some fares
- Agency service fees
- Convenience / payment fees

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The Fare Construction Process

The core IATA method, step by step.



● TOPIC 2.1.4

Key Terms You Will Use All Unit

Term	Meaning
Fare component	A portion of the journey priced with one fare
NUC	Neutral Unit of Construction — IATA's common unit for international fares
ROE	Rate of Exchange published by IATA to convert NUC to local currency
TPM / MPM	Ticketed Point Mileage / Maximum Permitted Mileage
HIP / CTM	Higher Intermediate Point check / Circle Trip Minimum check

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Ticket Office Workshop: Break Down the Price

**PEDAGOGY****Lecture-Based Teaching-Learning****TIME · 8 min****FORMAT · Whole class****1**

Show a real airline booking price breakdown (screenshot).

2

Students label each line: base fare, tax, surcharge or fee.

3

Calculate what % of the total is base fare.

4

Discuss: which parts would be refunded if the flight is cancelled?



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Click to reveal each answer

Fare Check Quiz

Q1**YQ and YR on a ticket are...**

- A) Government taxes
- B) Carrier-imposed surcharges
- C) Agent commissions
- D) Airport fees

ANSWER**B****Q2****NUC stands for...**

- A) National Unit of Currency
- B) Neutral Unit of Construction
- C) New Unified Charge
- D) Net Unit Cost

ANSWER**B****Q3****In India, tax code K3 represents...**

- A) GST
- B) Fuel surcharge
- C) Security fee
- D) Airport parking

ANSWER**A****Q4****Which step converts NUC into local currency?**

- A) Mileage check
- B) Applying the ROE
- C) HIP check
- D) Routing

ANSWER**B**

TICKET STAMPED

Key Takeaways

- ✓ Fare construction applies rules to price a journey correctly
- ✓ Total fare = base fare + surcharges + taxes + fees
- ✓ Taxes go to governments; YQ/YR go to airlines
- ✓ Core steps: components, mileage, checks, NUC×ROE, taxes

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT TICKET

Topic 2.2 — Fare Construction Rules

Thank you · Questions?